MACROECONOMICS

MACRO-18

Time: 5 minutes

Outcome: Identify money's functions, forms, and M1/M2 measurement.

Difficulty: ●●○ Intermediate

Money Functions and Measures

THE CORE IDEA

Money serves as a medium of exchange, a unit of account, and a store of value. As a medium of exchange it facilitates purchases; as a unit of account it provides a common way to quote prices and debts; as a store of value it carries purchasing power into the future. Money-supply measures group liquid assets by how readily they can perform these functions.

HOW TO RECOGNIZE IT

- A medium of exchange is used to buy and sell goods and services.
- A unit of account provides the common measure in which prices and debts are stated.
- A store of value transfers purchasing power from the present into the future.
- For a money-supply measure, classify an asset by its liquidity and the measure's stated definition.

WATCH OUT

Do not treat movement between M1 and non-M1 M2 assets as a change in total M2. Checking deposits are in M1 and M2, while retail money-market mutual funds are in M2 but not M1. The transfer lowers M1 without changing M2.

WORKED EXAMPLE: CLASSIFYING MONEY FUNCTIONS

Currency is $800, checkable deposits are $1,200, and savings deposits are $1,500. M1 = currency + checkable deposits = $2,000. M2 adds savings deposits, so M2 = $3,500. Therefore, m1 = $2,000; M2 = $3,500.

CHECK YOURSELF

Which item belongs in M1?

READY? Return to the game and master this concept.